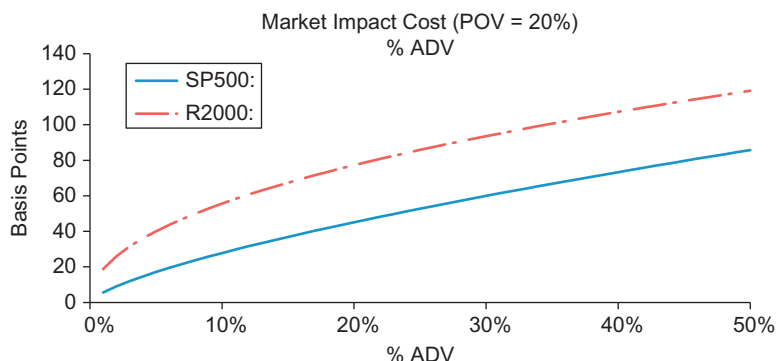




■ **Figure 11.1** Market Impact Costs Based on Order Size as Percentage of ADV.

The trading cost difference between large and small cap stocks becomes even more dramatic when we analyze the dollar amount of a trade. For example, if we invest \$5 million in a large cap stock it results in an average order size of 5.8% ADV and a cost of 17.6 bp (POV = 20%). But the same amount invested in a small cap stock results in an average size of 394% ADV and a cost of 266.6 bp (POV = 20%). This is now more than 15 times more expensive to trade small caps compared to large caps for the same dollar investment. This is an outrageous difference! [Figure 11.2](#) shows the comparison of trading costs across large and small cap stocks across equivalent dollar amounts. Notice how dramatically more expensive small cap stocks are to transact compared to large cap stocks even when holding the execution strategy constant (POV = 20%).

Another useful way to compare trading costs is by total dollar allocation. For example, index funds allocate their dollar investment across stocks based on the stocks' weightings in the index. Stocks with higher weightings receive a large dollar investment and stocks with smaller weightings receive a smaller dollar investment. A \$3 billion investment allocated to each index based on market capitalization weightings results in an average order size of 2.8% ADV for SP500 and a corresponding cost of 10.4 bp. The same investment in the R2000 index results in an average order size of 42.8% and corresponding trading cost of 101.4 bp. Small cap stocks are 9.7 times more expensive to trade than large cap—even for a passive index fund. This differential is especially dramatic considering that the dollars are allocated across a much larger number of stocks for the R2000 index (1992 stocks in June 2012) compared to the SP500 index (500 stocks in June 2012). [Figure 11.3](#) compares the difference in trading costs for various investment amounts across market cap weighted replication of the indexes.